

Senate File 649

S-3158

1 Amend Senate File 649 as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <DIVISION I

5 DEPARTMENT OF VETERANS AFFAIRS — FY 2025-2026

6 Section 1. DEPARTMENT OF VETERANS AFFAIRS. There is
7 appropriated from the general fund of the state to the
8 department of veterans affairs for the fiscal year beginning
9 July 1, 2025, and ending June 30, 2026, the following amounts,
10 or so much thereof as is necessary, to be used for the purposes
11 designated:

12 1. DEPARTMENT OF VETERANS AFFAIRS ADMINISTRATION

13 For salaries, support, maintenance, and miscellaneous
14 purposes, and for not more than the following full-time
15 equivalent positions:

16 \$ 1,369,205
17 FTEs 15.00

18 2. IOWA VETERANS HOME

19 For salaries, support, maintenance, and miscellaneous
20 purposes:

21 \$ 8,145,736

22 a. The Iowa veterans home billings involving the department
23 of health and human services shall be submitted to the
24 department on at least a monthly basis.

25 b. The Iowa veterans home expenditure report shall be
26 submitted monthly to the general assembly.

27 3. HOME OWNERSHIP ASSISTANCE PROGRAM

28 For transfer to the Iowa finance authority for the
29 continuation of the home ownership assistance program for
30 persons who are or were eligible members of the armed forces
31 of the United States or eligible service members pursuant to
32 section 16.54:

33 \$ 2,200,000

34 DIVISION II

35 AGING AND DISABILITY SERVICES — FY 2025-2026

1 Sec. 2. DEPARTMENT OF HEALTH AND HUMAN SERVICES — AGING
2 AND DISABILITY SERVICES. There is appropriated from the
3 general fund of the state to the department of health and human
4 services for the fiscal year beginning July 1, 2025, and ending
5 June 30, 2026, the following amount, or so much thereof as is
6 necessary, to be used for the purposes designated:

7 For aging programs for the department of health and human
8 services and area agencies on aging to provide citizens of
9 Iowa who are 60 years of age and older with case management;
10 for Iowa's aging and disabilities resource centers; for the
11 return to community program; for the purposes of chapter 231E;
12 to administer the prevention of elder abuse, neglect, and
13 exploitation program pursuant to section 231.56A, in accordance
14 with the requirements of the federal Older Americans Act of
15 1965, 42 U.S.C. §3001 et seq., as amended; for the operation
16 of the dependent adult abuse services program pursuant to
17 chapter 235B; for other services which may include but are not
18 limited to adult day care, respite care, chore, information
19 and assistance, and material aid; for information and options
20 counseling for persons with disabilities; and for salaries,
21 support, administration, maintenance, and miscellaneous
22 purposes, and for not more than the following full-time
23 equivalent positions:

24	\$ 19,208,180
25	FTEs 88.00

26 1. Moneys appropriated in this section may be used to
27 supplement federal moneys received under federal regulations.
28 To receive moneys appropriated in this section, a local area
29 agency on aging shall match the moneys with moneys from other
30 sources according to rules adopted by the department. Moneys
31 appropriated in this section may be used for services not
32 specifically enumerated in this section only if approved by the
33 department as part of an area agency on aging's area plan.

34 2. Of the moneys appropriated in this section, \$949,282
35 shall be used for the family support center component of the

1 comprehensive family support program under section 225C.47.

2 3. Of the moneys appropriated in this section, \$33,632 shall
3 be used to build community capacity through the coordination
4 and provision of training opportunities in accordance with the
5 consent decree of Conner v. Branstad, No. 4-86-CV-30871 (S.D.
6 Iowa, July 15, 1994).

7 DIVISION III

8 BEHAVIORAL HEALTH — FY 2025-2026

9 Sec. 3. DEPARTMENT OF HEALTH AND HUMAN SERVICES —
10 BEHAVIORAL HEALTH. There is appropriated from the general fund
11 of the state to the department of health and human services for
12 the fiscal year beginning July 1, 2025, and ending June 30,
13 2026, the following amount, or so much thereof as is necessary,
14 to be used for the purposes designated:

15 For behavioral health prevention, treatment, and recovery
16 efforts to reduce the prevalence of the use of, provide
17 treatment for, and support recovery from alcohol, tobacco, and
18 substance use and misuse, problem gambling, and other addictive
19 behaviors. Activities shall align with accepted best practice
20 guidance standards for behavioral health including those
21 published by the centers for disease control and prevention of
22 the United States department of health and human services, and
23 the substance abuse and mental health services administration
24 of the United States department of health and human services,
25 for health promotion; universal, selective, and indicated
26 prevention; treatment; and recovery services and supports; and
27 shall include a 24-hour helpline, public information resources,
28 professional training, youth prevention, program evaluation,
29 and efforts at the state and local levels, and for not more
30 than the following full-time equivalent positions:

31	\$ 24,442,121
32	FTEs 71.00

33 1. Of the moneys appropriated in this section, \$300,000
34 shall be used to support the work of the children's behavioral
35 health system including evidence-based behavioral health

1 prevention, treatment, and recovery services and supports for
2 children and their families pursuant to the intent specified in
3 section 225C.6B, subsection 1.

4 2. Of the moneys appropriated in this section, \$950,000
5 shall be used for an integrated substance use disorder managed
6 care system. The department shall maintain the level of mental
7 health and substance use disorder treatment services provided
8 by the managed care contractors, and shall take the steps
9 necessary to continue the federal waivers as needed to maintain
10 the level of services.

11 Sec. 4. DEPARTMENT OF HEALTH AND HUMAN SERVICES — SPORTS
12 WAGERING RECEIPTS FUND. There is appropriated from the
13 sports wagering receipts fund created in section 8.57I, to the
14 department of health and human services for the fiscal year
15 beginning July 1, 2025, and ending June 30, 2026, the following
16 amount, or so much thereof as is necessary, to be used for
17 behavioral health prevention, treatment, and recovery efforts
18 to reduce the prevalence of the use of, provide treatment for,
19 and support recovery from alcohol, tobacco, and substance use
20 and misuse, problem gambling, and other addictive behaviors:
21 \$ 1,750,000

22 DIVISION IV

23 PUBLIC HEALTH — FY 2025-2026

24 Sec. 5. DEPARTMENT OF HEALTH AND HUMAN SERVICES — PUBLIC
25 HEALTH. There is appropriated from the general fund of the
26 state to the department of health and human services for the
27 fiscal year beginning July 1, 2025, and ending June 30, 2026,
28 the following amount, or so much thereof as is necessary, to be
29 used for the purposes designated:

30 For programs that support health promotion, protect the
31 health and safety of the public, conduct disease surveillance
32 and investigation to reduce the incidence of morbidity and
33 mortality, serve individuals with chronic conditions including
34 but not limited to cancer, support the Iowa donor registry as
35 specified in section 142C.18, and strengthen the health care

1 delivery system and workforce to improve health outcomes for
2 all Iowans, and for not more than the following full-time
3 equivalent positions:

4 \$ 22,433,369
5 FTEs 348.60

6 1. Of the moneys appropriated in this section, the following
7 amounts are allocated to the department of health and human
8 services to be used as follows to support the goals of
9 increased access, health system integration, and engagement:

10 a. \$600,000 for distribution to a nonprofit organization
11 that established the first statewide drug donation repository
12 for continuation of the pharmaceutical infrastructure for
13 safety net providers established as described in 2007 Iowa
14 Acts, chapter 218, section 108, and for the prescription drug
15 donation repository program established in chapter 135M.
16 Moneys under this paragraph shall be distributed in their
17 entirety on July 1, 2025, for the purpose specified.

18 b. \$374,000 for distribution to free clinics, as defined in
19 section 135.24, and a nonprofit organization that facilitates
20 the initiation, operation, and collaboration of free clinics
21 for necessary infrastructure, statewide coordination, provider
22 recruitment, service delivery, and provision of assistance to
23 patients in securing a medical home inclusive of oral health
24 care. Of the moneys allocated, \$40,000 shall be used to lower
25 fees associated with using an electronic prescribing system.
26 Moneys under this paragraph shall be distributed in their
27 entirety on July 1, 2025, for the purpose specified.

28 c. \$25,000 for distribution to an organization that raises
29 awareness about issues related to rural health clinics for
30 necessary infrastructure and service delivery transformation.
31 Moneys under this paragraph shall be distributed in their
32 entirety on July 1, 2025, for the purpose specified.

33 d. \$225,000 for distribution to an organization that is
34 the oldest continuously operating medical society in the most
35 populous county in the state according to the most recently

1 published census for continuation of safety net provider
2 patients access to specialty care as described in 2007 Iowa
3 Acts, chapter 218, section 109. Moneys under this paragraph
4 shall be distributed in their entirety on July 1, 2025, for the
5 purpose specified.

6 2. Of the moneys appropriated in this section, \$600,000
7 shall be used for rural psychiatric residencies for residents
8 selected on or before June 30, 2025.

9 3. Of the moneys appropriated in this section, \$20,000 shall
10 be used to make radon test kits available, free of charge, to
11 homeowners and renters in the state. The department shall
12 provide a link on the department's internet site for homeowners
13 and renters in the state to order radon test kits.

14 4. Of the moneys appropriated in this section, \$2,300,000
15 shall be used for Medicaid graduate medical education efforts
16 and consistent with the purpose of the department's request for
17 approval to the centers of Medicare and Medicaid services of
18 the United States department of health and human services for
19 a Medicaid supplemental enhanced payment for the purposes of
20 maximizing federal funding opportunities for graduate medical
21 education as described in 2025 Iowa Acts, House File 972, or
22 successor legislation.

23 5. The university of Iowa hospitals and clinics under
24 the control of the state board of regents shall not receive
25 indirect costs from the moneys appropriated in this section.
26 The university of Iowa hospitals and clinics billings to the
27 department shall be, at a minimum, on a quarterly basis.

28 DIVISION V

29 COMMUNITY ACCESS AND ELIGIBILITY — FY 2025-2026

30 Sec. 6. DEPARTMENT OF HEALTH AND HUMAN SERVICES — COMMUNITY
31 ACCESS AND ELIGIBILITY. There is appropriated from the
32 general fund of the state to the department of health and human
33 services for the fiscal year beginning July 1, 2025, and ending
34 June 30, 2026, the following amount, or so much thereof as is
35 necessary, to be used for the purposes designated:

1 To be used for salaries, support, maintenance, and
2 miscellaneous purposes and for family investment program (FIP)
3 assistance in accordance with chapter 239B, and for other costs
4 associated with providing needs-based benefits or assistance
5 including but not limited to maternal and child health, oral
6 health, obesity prevention, the promoting independence and
7 self-sufficiency through employment, job opportunities and the
8 basic skills (PROMISE JOBS) program, supplemental nutrition
9 assistance program (SNAP) employment and training, the FIP
10 diversion program, family planning, rent reimbursement,
11 and eligibility determinations for medical assistance, food
12 assistance, and the children's health insurance program, and
13 for not more than the following full-time equivalent positions:
14 \$ 68,542,456
15 FTEs 870.40

16 1. Of the child support collections assigned under FIP,
17 the federal share of the child support collections shall be
18 credited to the child support services appropriation made in
19 this division of this Act. Of the remainder of the child
20 support collections assigned under FIP, a portion shall be
21 credited to community access and eligibility, and the remaining
22 moneys may be used to increase recoveries, to sustain cash flow
23 in the collection services center refund account as provided in
24 section 252B.13A, or for technology needs. If child support
25 collections assigned under FIP are greater than estimated or
26 are otherwise determined not to be required for maintenance of
27 efforts, the state share of either amount is appropriated to
28 the department for child support services as described in this
29 Act, or may be transferred to or retained in the collection
30 services center refund account.

31 2. Of the moneys appropriated in this section, \$3,075,000
32 shall be used for continuation of the department's initiative
33 to provide for adequate developmental surveillance and
34 screening during a child's first five years. The moneys shall
35 be used first to fully fund the current participating counties

1 to ensure that those counties are fully operational, with
2 the remaining moneys to be used for expanding participation
3 to additional counties. Full implementation and expansion
4 shall include enhancing the scope of the initiative through
5 collaboration with child health specialty clinics to promote
6 the use of developmental surveillance and screening to
7 support healthy child development through early identification
8 and response to both biomedical and social determinants of
9 healthy development by providing practitioner consultation
10 and continuous improvement through training and education,
11 particularly for children with behavioral conditions and
12 needs. The department shall also collaborate with the Medicaid
13 program and child health specialty clinics to assist in
14 coordinating the activities of the first five initiative into
15 the establishment of patient-centered medical homes developed
16 to improve health quality and population health while reducing
17 health care costs. To the maximum extent possible, moneys
18 allocated in this subsection shall be utilized as matching
19 moneys for Medicaid program reimbursement.

20 3. Of the moneys appropriated in this section, \$1,145,102
21 is allocated to the Iowa commission on volunteer service for
22 programs and grants.

23 4. The university of Iowa hospitals and clinics under
24 the control of the state board of regents shall not receive
25 indirect costs from the moneys appropriated in this section.
26 The university of Iowa hospitals and clinics billings to the
27 department shall be, at a minimum, on a quarterly basis.

28 CHILD SUPPORT SERVICES

29 Sec. 7. CHILD SUPPORT SERVICES. There is appropriated from
30 the general fund of the state to the department of health and
31 human services for the fiscal year beginning July 1, 2025, and
32 ending June 30, 2026, the following amount, or so much thereof
33 as is necessary, to be used for the purposes designated:

34 For child support services, including salaries, support,
35 maintenance, and miscellaneous purposes, and for not more than

1 the following full-time equivalent positions:

2 \$ 15,644,114

3 FTEs 464.00

4 1. Federal access and visitation grant moneys shall be used
5 for services designed to increase compliance with the child
6 access provisions of court orders, including but not limited to
7 neutral visitation sites and mediation services.

8 2. The appropriation made to the department for child
9 support services may be used throughout the fiscal year in the
10 manner necessary for purposes of cash flow management, and for
11 cash flow management purposes the department may temporarily
12 draw more than the amount appropriated provided the amount
13 appropriated is not exceeded at the close of the fiscal year.

14 TEMPORARY ASSISTANCE FOR NEEDY FAMILIES BLOCK GRANT

15 Sec. 8. TEMPORARY ASSISTANCE FOR NEEDY FAMILIES BLOCK
16 GRANT. There is appropriated from the special fund created in
17 section 8.41 to the department of health and human services
18 for the fiscal year beginning July 1, 2025, and ending June
19 30, 2026, from moneys received under the federal temporary
20 assistance for needy families (TANF) block grant pursuant
21 to the federal Personal Responsibility and Work Opportunity
22 Reconciliation Act of 1996, Pub. L. No. 104-193, and successor
23 legislation, including any TANF block grant moneys received in
24 any prior fiscal year that were deposited in the special fund
25 and remain unencumbered or unobligated on June 30, 2025, the
26 following amounts, or so much thereof as is necessary, to be
27 used for the purposes designated:

28 1. For community access and eligibility:

29 \$ 12,988,627

30 2. For community access and eligibility to provide
31 pregnancy prevention grants on the condition that family
32 planning services are funded:

33 \$ 1,913,203

34 Pregnancy prevention grants shall be awarded to programs
35 in existence on or before July 1, 2025, if the programs have

1 demonstrated positive outcomes. Grants shall be awarded
2 to pregnancy prevention programs developed after July 1,
3 2025, if the programs are based on existing models that have
4 demonstrated positive outcomes. Grants shall comply with the
5 requirements provided in 1997 Iowa Acts, chapter 208, section
6 14, subsections 1 and 2, including the requirement that a
7 program awarded a grant must emphasize sexual abstinence.
8 Priority in the awarding of grants shall be given to programs
9 that serve areas of the state which demonstrate the highest
10 percentage of unplanned pregnancies of females of childbearing
11 age within the geographic area to be served by the grant.

12 3. To meet one of the four purposes of TANF as specified
13 in 45 C.F.R. §260.20, including by modernizing the program
14 to promote economic mobility and self-sufficiency, ensuring
15 that families are able to overcome benefit cliffs, encouraging
16 healthy families, and streamlining service delivery to reduce
17 duplication:

18 \$ 25,000,000

19 4. For early intervention and supports for child
20 abuse prevention grants and the family development and
21 self-sufficiency (FaDSS) grant program in accordance with
22 section 216A.107:

23 \$ 3,013,980

24 5. For accountability, compliance, program integrity,
25 technology needs, and other resources necessary to meet
26 federal and state reporting, tracking, and case management
27 requirements, and other departmental needs:

28 \$ 3,533,647

29 6. For state child care assistance:

30 \$ 47,166,826

31 7. For child protective services:

32 \$ 65,364,100

33 DIVISION VI
34 MEDICAL ASSISTANCE PROGRAM — STATE SUPPLEMENTARY ASSISTANCE —
35 HEALTHY AND WELL KIDS IN IOWA PROGRAM AND OTHER HEALTH-RELATED

1 in the community and that provide support to the individual,
2 including employment services, hourly supported community
3 living services, respite services, and day habilitation
4 services.

5 2. Iowans support reducing the number of abortions
6 performed in our state. Moneys appropriated under this section
7 shall not be used for abortions, unless otherwise authorized
8 under this section.

9 3. The provisions of this section relating to abortions
10 shall also apply to the Iowa health and wellness plan created
11 pursuant to chapter 249N.

12 4. Of the moneys appropriated in this section, \$4,479,762 is
13 allocated for the state supplementary assistance program.

14 5. Of the moneys appropriated in this section, \$61,266,871
15 is allocated for maintenance of the Hawki program pursuant
16 to chapter 514I, including supplemental dental services, for
17 receipt of federal financial participation under Tit. XXI of
18 the federal Social Security Act, which creates the children's
19 health insurance program.

20 HEALTH PROGRAM OPERATIONS

21 Sec. 10. HEALTH PROGRAM OPERATIONS. There is appropriated
22 from the general fund of the state to the department of health
23 and human services for the fiscal year beginning July 1,
24 2025, and ending June 30, 2026, the following amount, or so
25 much thereof as is necessary, to be used for the purposes
26 designated:

27 For health program operations, and the autism support
28 program under section 225D.2, and for not more than the
29 following full-time equivalent positions:

30	\$ 39,672,433
31	FTEs 82.00

32 1. The department of inspections, appeals, and licensing
33 shall provide all state matching moneys for survey and
34 certification activities performed by the department of
35 inspections, appeals, and licensing. The department of health

1 and human services shall be solely responsible for distributing
2 the federal matching moneys for such activities.

3 2. Of the moneys appropriated in this section, a sufficient
4 amount shall be allocated for the administration of the health
5 insurance premium payment program, including salaries, support,
6 maintenance, and miscellaneous purposes.

7 3. Of the moneys appropriated in this section, \$750,000
8 shall be allocated for a nonprofit organization that provides
9 access to emergency poison information and treatment. Pursuant
10 to the directive under 2014 Iowa Acts, chapter 1140, section
11 102, the federal matching moneys available to the nonprofit
12 organization from the department under the federal Children's
13 Health Insurance Program Reauthorization Act of 2009 shall be
14 subject to the federal administrative cap rule of 10 percent
15 applicable to moneys provided under Tit. XXI of the federal
16 Social Security Act and shall be included in the department's
17 calculations of the cap.

18 4. Unless otherwise provided by law, if a contract for
19 services provided under this section initially entered into
20 during the fiscal year beginning July 1, 2025, and ending
21 June 30, 2026, provides for an annual increase of the cost of
22 services provided under the contract, the annual increase shall
23 not exceed the amount by which the consumer price index for
24 all urban consumers increased during the immediately preceding
25 calendar year. This subsection shall not affect a contract
26 entered into on or before June 30, 2025, that is for a term of
27 more than one year.

28 HEALTH CARE ACCOUNTS AND FUNDS

29 Sec. 11. PHARMACEUTICAL SETTLEMENT ACCOUNT — DEPARTMENT
30 OF HEALTH AND HUMAN SERVICES. There is appropriated from the
31 pharmaceutical settlement account created in section 249A.33 to
32 the department of health and human services for the fiscal year
33 beginning July 1, 2025, and ending June 30, 2026, the following
34 amount, or so much thereof as is necessary, to be used for the
35 purposes designated:

1 Notwithstanding any provision of law to the contrary, to
2 supplement the appropriation made in this Act from the general
3 fund of the state for health program operations under the
4 medical assistance program for the same fiscal year:
5 \$ 234,193

6 Sec. 12. QUALITY ASSURANCE TRUST FUND — DEPARTMENT OF
7 HEALTH AND HUMAN SERVICES. Notwithstanding any provision of
8 law to the contrary, and subject to the availability of moneys,
9 there is appropriated from the quality assurance trust fund
10 created in section 249L.4 to the department of health and human
11 services for the fiscal year beginning July 1, 2025, and ending
12 June 30, 2026, the following amount, or so much thereof as is
13 necessary, for the purposes designated:

14 To supplement the appropriation made in this Act from the
15 general fund of the state to the department of health and human
16 services for medical assistance for the same fiscal year:
17 \$111,216,205

18 Sec. 13. HOSPITAL HEALTH CARE ACCESS TRUST FUND —
19 DEPARTMENT OF HEALTH AND HUMAN SERVICES. Notwithstanding
20 any provision of law to the contrary, and subject to the
21 availability of moneys, there is appropriated from the hospital
22 health care access trust fund created in section 249M.4 to the
23 department of health and human services for the fiscal year
24 beginning July 1, 2025, and ending June 30, 2026, the following
25 amount, or so much thereof as is necessary, for the purposes
26 designated:

27 To supplement the appropriation made in this Act from the
28 general fund of the state to the department of health and human
29 services for medical assistance for the same fiscal year:
30 \$ 33,920,554

31 SEX REASSIGNMENT SURGERIES OR ASSOCIATED PROCEDURES

32 Sec. 14. NEW SECTION. 249A.14 Sex reassignment surgeries or
33 associated procedures — reimbursement prohibited.

34 1. Moneys appropriated from the general fund of the state
35 to the department for the medical assistance program shall

1 not be used for reimbursement for sex reassignment surgery
2 or associated procedures, including hormone therapy or other
3 medical interventions intended to alter primary or secondary
4 sex characteristics related to an individual's gender dysphoria
5 diagnosis.

6 2. This section shall not be construed to prohibit Medicaid
7 program reimbursement for services not described under
8 subsection 1 that are otherwise covered under the Medicaid
9 program.

10 3. The department of health and human services shall adopt
11 rules pursuant to chapter 17A to administer this section.

12 REIMBURSEMENT RATES

13 Sec. 15. REIMBURSEMENT RATES.

14 1. Reimbursement for medical assistance, state
15 supplementary assistance, and social service providers and
16 services reimbursed under the purview of the department of
17 health and human services shall remain at the reimbursement
18 rate in effect on June 30, 2025, or shall be determined
19 pursuant to the reimbursement methodology in effect on June 30,
20 2025, with the exception of the following:

21 a. If reimbursement is otherwise negotiated by contract or
22 pursuant to an updated fee schedule.

23 b. As otherwise provided in this section of this Act.

24 2. Of the moneys appropriated for medical assistance
25 program reimbursement and associated costs as specifically
26 provided in the reimbursement methodologies June 30, 2025, the
27 following amounts, or so much thereof as is necessary, are
28 allocated to the department of health and human services to be
29 used for the following purposes:

30 a. (1) Notwithstanding any provision of law to the
31 contrary, for the fiscal year beginning July 1, 2025, and
32 ending June 30, 2026, the department of health and human
33 services shall rebase case-mix nursing facility rates beginning
34 July 1, 2025, using the Medicaid cost reports on file for
35 the period ending December 31, 2024, to the extent possible

1 within state funding, including no more than \$20,000,000
2 from the allocation provided for medical assistance program
3 reimbursement and associated costs.

4 (2) The department of health and human services shall
5 calculate each nursing facility's case-mix index for the period
6 beginning July 1, 2024, using weighting based on the current
7 patient-driven payment model schedule. Rosters shall be
8 made to show a separate calculation to determine the average
9 case-mix index for a nursing-facility-wide case-mix index, and
10 a case-mix index for the residents of a nursing facility who
11 are Medicaid recipients using all minimum data set reports by
12 the nursing facility for the previous semiannual period using a
13 day weighted calculation.

14 b. For the fiscal year beginning July 1, 2025, \$2,136,304
15 shall be used to increase to the extent possible reimbursement
16 rates for dentists, excluding orthodontic services, compared to
17 rates in effect on June 30, 2025.

18 c. For the fiscal year beginning July 1, 2025, \$420,000
19 shall be used to increase to the extent possible reimbursement
20 rates for maternal health providers compared to the rates in
21 effect on June 30, 2025.

22 d. For the fiscal year beginning July 1, 2025, \$100,000
23 shall be used to increase to the extent possible reimbursement
24 rates for prosthetics compared to rates in effect on June 30,
25 2025.

26 3. For the fiscal year beginning July 1, 2025, reimbursement
27 rates for home health agencies shall continue to be based
28 on the Medicare low utilization payment adjustment (LUPA)
29 methodology with state geographic wage adjustments, and shall
30 be adjusted to increase the rates to the extent possible.

31 4. For the fiscal year beginning July 1, 2026, and for
32 each fiscal year thereafter, the department shall review the
33 reimbursement rates for home health agencies and pharmacy
34 dispensing fees.

35 5. On or before December 15, 2025, the department shall

1 review the current rate limit calculation and application for
2 special population nursing facility rates.

3 NURSING FACILITIES — MEDICAID REIMBURSEMENT METHODOLOGY
4 PROPOSAL

5 Sec. 16. NURSING FACILITIES — MEDICAID REIMBURSEMENT
6 METHODOLOGY PROPOSAL.

7 1. By April 1, 2026, the department of health and human
8 services shall develop a reimbursement methodology proposal for
9 reimbursement of nursing facilities under the Medicaid program
10 that includes all of the following:

- 11 a. A base-rate payment component.
- 12 b. A quality assurance assessment pass-through component.
- 13 c. A quality assurance add-on component, which includes a
14 fixed fee payment and a quality-based payment.

15 2. The reimbursement methodology proposal shall include
16 recommendations developed by the department of health and human
17 services, in consultation with stakeholders including the Iowa
18 health care association and leadingage Iowa, for specific
19 metrics the department of health and human services will use
20 to determine whether a nursing facility is eligible to receive
21 all or a portion of the quality-based payment portion of the
22 reimbursement to the nursing facility.

23 3. The total state expenditures for reimbursement of
24 nursing facilities under the Medicaid program using the
25 reimbursement methodology proposed in this section shall
26 not exceed the amount appropriated for this purpose for the
27 applicable fiscal year.

28 NURSING FACILITY BED FORECASTING FORMULA

29 Sec. 17. NURSING FACILITY BED FORECASTING FORMULA.

30 1. On or before July 1, 2026, the department of health and
31 human services, in consultation with appropriate stakeholders,
32 shall develop and implement a nursing bed facility forecasting
33 formula utilizing the recommendations for improvement to the
34 nursing facility bed need formula developed by the workgroup
35 convened pursuant to 2023 Iowa Acts, chapter 158, section 11,

1 to ensure the availability of sufficient nursing facility beds
2 to meet future demand for nursing facility beds.

3 2. The department of health and human services shall
4 consider the forecasting formula developed and implemented
5 under subsection 1 when completing the formal review of an
6 application for a certificate of need under chapter 10A,
7 subchapter VII, part 2.

8 **PERSONAL NEEDS ALLOWANCE**

9 Sec. 18. PERSONAL NEEDS ALLOWANCE. Of the moneys
10 appropriated for the medical assistance program reimbursement
11 and associated costs as specifically provided in the
12 reimbursement methodologies in effect on June 30, 2025,
13 \$330,513 shall be allocated to provide for the increased
14 monthly personal needs allowance under section 249A.30A.

15 Sec. 19. Section 249A.30A, Code 2025, is amended to read as
16 follows:

17 **249A.30A Medical assistance — personal needs allowance.**

18 1. The personal needs allowance under the medical
19 assistance program, which may be retained by a person who is a
20 resident of a nursing facility, an intermediate care facility
21 for persons with an intellectual disability, or an intermediate
22 care facility for persons with mental illness, as defined in
23 section 135C.1, or a person who is a resident of a psychiatric
24 medical institution for children as defined in [section 135H.1](#),
25 shall be ~~fifty~~ fifty-five dollars per month.

26 2. A resident who has income of less than ~~fifty~~ fifty-five
27 dollars per month shall receive a supplement from the state in
28 the amount necessary to receive a personal needs allowance of
29 ~~fifty~~ fifty-five dollars per month. The general assembly shall
30 annually appropriate a sufficient amount from the general fund
31 of the state to the department of health and human services for
32 this purpose.

33 **DIVISION VII**

34 **FAMILY WELL-BEING AND PROTECTION — FY 2025-2026**

35 **STATE CHILD CARE ASSISTANCE**

1 Sec. 20. STATE CHILD CARE ASSISTANCE. There is appropriated
2 from the general fund of the state to the department of health
3 and human services for the fiscal year beginning July 1,
4 2025, and ending June 30, 2026, the following amount, or so
5 much thereof as is necessary, to be used for the purposes
6 designated:

7 For state child care assistance in accordance with sections
8 237A.13 and 237A.14, and for not more than the following
9 full-time equivalent positions:

10 \$ 34,983,000
11 FTEs 53.00

12 1. If the appropriation made for purposes of the state child
13 care assistance program for the fiscal year is determined to
14 be insufficient, it is the intent of the general assembly to
15 appropriate sufficient moneys for the fiscal year to avoid
16 application of waiting list requirements.

17 2. A portion of the state match for the federal child care
18 and development block grant shall be provided as necessary to
19 meet federal matching moneys requirements through the state
20 general fund appropriation made for child development grants
21 and other programs for at-risk children in section 279.51.

22 EARLY INTERVENTION AND SUPPORTS

23 Sec. 21. EARLY INTERVENTION AND SUPPORTS. There is
24 appropriated from the general fund of the state to the
25 department of health and human services for the fiscal year
26 beginning July 1, 2025, and ending June 30, 2026, the following
27 amount, or so much thereof as is necessary, to be used for the
28 purposes designated:

29 For promoting optimum health status for children and
30 adolescents from birth through 21 years of age, and for
31 families, and for not more than the following full-time
32 equivalent positions:

33 \$ 35,301,904
34 FTEs 29.00

35 1. Of the moneys appropriated in this section, not more

1 than \$734,000 shall be used for the healthy opportunities for
2 parents to experience success (HOPES)-healthy families Iowa
3 (HFI) program established pursuant to section 135.106.

4 2. Of the moneys appropriated in this section, \$4,313,854
5 is allocated for the FaDSS grant program, and not more than 5
6 percent of the moneys shall be used for administration of the
7 grant program.

8 3. Of the moneys appropriated in this section, \$29,256,799
9 shall be deposited in the early childhood Iowa fund created in
10 section 256I.11.

11 CHILD PROTECTIVE SERVICES

12 Sec. 22. CHILD PROTECTIVE SERVICES. There is appropriated
13 from the general fund of the state to the department of health
14 and human services for the fiscal year beginning July 1,
15 2025, and ending June 30, 2026, the following amount, or so
16 much thereof as is necessary, to be used for the purposes
17 designated:

18 For child, family, and adoption services, and for salaries,
19 support, maintenance, and miscellaneous purposes, and for not
20 more than the following full-time equivalent positions:

21	\$165,558,031
22	FTEs 977.00

23 1. Of the moneys appropriated in this section, \$1,717,000
24 is allocated specifically for expenditure for the fiscal
25 year beginning July 1, 2025, through the decategorization
26 services funding pools and decategorization governance boards
27 established pursuant to section 232.188.

28 2. A portion of the moneys appropriated in this section
29 may be used to provide other resources, based on client need,
30 required to support family preservation, emergency client need,
31 or family reunification efforts.

32 3. Of the moneys appropriated in this section, a sufficient
33 amount is allocated for foster family care, group foster care
34 maintenance and services, shelter care, child welfare emergency
35 services, qualified residential treatment programs, supervised

1 apartment living contracts, and for medical assistance program
2 reimbursement and associated costs.

3 4. Federal moneys received by the state during the fiscal
4 year beginning July 1, 2025, as the result of the expenditure
5 of state moneys appropriated during a previous state fiscal
6 year for a service or activity funded under this section, are
7 appropriated to the department to be used as additional moneys
8 for services and purposes provided for under this section.
9 Notwithstanding section 8.33, moneys appropriated under this
10 subsection that remain unencumbered or unobligated at the close
11 of the fiscal year shall not revert but shall remain available
12 for the purposes designated until the close of the succeeding
13 fiscal year.

14 5. a. Of the moneys appropriated in this section, \$748,000
15 is allocated for the payment of the expenses of court-ordered
16 services provided to children who are under the supervision
17 of the department, which expenses are a charge upon the state
18 pursuant to section 232.141, subsection 4.

19 b. Notwithstanding chapter 232 or any other provision of
20 law to the contrary, a district or juvenile court shall not
21 order any service which is a charge upon the state pursuant to
22 section 232.141, subsection 4, if the moneys allocated under
23 paragraph "a" for court-ordered services are insufficient to
24 pay for the service.

25 6. Of the moneys appropriated in this section, \$1,658,000
26 shall be allocated for child protection centers located in Iowa
27 pursuant to the child protection center grant program under
28 section 135.118. The grant amounts under the program shall be
29 equalized so that each center receives a uniform base amount
30 of \$245,000, and the remaining moneys are awarded through a
31 funding formula based upon the volume of children served by a
32 center. To increase access to child protection center services
33 for children in rural areas, the funding formula for awarding
34 the remaining moneys shall provide for awarding an enhanced
35 amount to eligible grantees to develop and maintain satellite

1 centers in underserved regions of the state.

2 7. Of the moneys appropriated in this section, \$4,359,500
3 is allocated for the preparation for adult living program
4 established pursuant to section 234.46.

5 8. Of the moneys appropriated in this section, up to
6 \$227,000 shall be used for the public purpose of continuing a
7 grant to a nonprofit human services organization that provides
8 services to individuals and families in multiple locations in
9 southwest Iowa and Nebraska, for support of a project providing
10 immediate, sensitive support and forensic interviews, medical
11 exams, needs assessments, and referrals for victims of child
12 abuse and their nonoffending family members.

13 9. Of the moneys appropriated in this section, a portion may
14 be used for family-centered services for purposes of complying
15 with the federal Family First Prevention Services Act of 2018,
16 Pub. L. No. 115-123, and successor legislation.

17 10. a. Of the moneys appropriated in this section,
18 \$39,823,955 is allocated for adoption subsidy payments and
19 related costs.

20 b. Of the moneys allocated in this subsection, \$148,232
21 shall be used to increase the adoption subsidy pursuant to
22 section 600.17 for a child adopted after July 1, 2025.

23 c. Any moneys remaining after the allocations under
24 paragraphs "a" and "b" are designated and allocated as state
25 savings resulting from implementation of the federal Fostering
26 Connections to Success and Increasing Adoptions Act of 2008,
27 Pub. L. No. 110-351, and successor legislation, as determined
28 in accordance with 42 U.S.C. §673(a)(8), and shall be used for
29 post-adoption services and for other purposes allowed under
30 those federal laws, Tit. IV-B or Tit. IV-E of the federal
31 Social Security Act.

32 11. Of the moneys appropriated in this section, a sufficient
33 amount is allocated to support training needs for child welfare
34 providers and to address disproportionality within the child
35 welfare system.

1 12. Of the moneys appropriated in this section, \$308,765
2 shall be allocated to increase the foster care reimbursement
3 rates pursuant to section 234.38, not to exceed the maximum
4 reimbursement rate established in section 234.38.

5 13. If a separate funding source is available that reduces
6 the need for state moneys within an allocation under this
7 section, the allocated state moneys may be redistributed to
8 other allocations under this section for the same fiscal year.

9 Sec. 23. REIMBURSEMENT RATES — CHILD PROTECTIVE SERVICES.

10 1. Of the moneys appropriated for child, family, and
11 adoption services, the following amounts, or so much thereof
12 as is necessary, are allocated to the department of health and
13 human services for the following purposes:

14 a. For the fiscal year beginning July 1, 2025, \$3,245,594
15 shall be used to increase to the extent possible reimbursement
16 rates for qualified residential treatment program providers
17 compared to rates in effect June 30, 2025.

18 b. For the fiscal year beginning July 1, 2025, \$1,590,842
19 shall be used to increase to the extent possible reimbursement
20 rates for shelter care providers compared to rates in effect
21 June 30, 2025.

22 2. The department of health and human services, in
23 consultation with qualified residential treatment program
24 providers, shelter care providers, and representatives
25 of juvenile court services, shall develop a reimbursement
26 methodology for the fiscal year beginning July 1, 2026, for
27 reimbursement of qualified residential treatment program
28 providers and shelter care providers to improve service quality
29 and provide the appropriate level of care for a child.

30 DIVISION VIII

31 STATE-OPERATED SPECIALTY CARE — FY 2025-2026

32 Sec. 24. STATE-OPERATED SPECIALTY CARE. There is
33 appropriated from the general fund of the state to the
34 department of health and human services for the fiscal year
35 beginning July 1, 2025, and ending June 30, 2026, the following

1 amount, or so much thereof as is necessary, to be used for the
2 purposes designated:

3 For salaries, support, maintenance, and miscellaneous
4 purposes at institutions under the jurisdiction of the
5 department of health and human services, and for not more than
6 the following full-time equivalent positions:

7 \$102,343,507
8 FTEs 756.00

9 1. The department shall utilize the moneys appropriated in
10 this section as necessary to maximize bed capacity and to most
11 effectively meet the needs of the individuals served.

12 2. Of the moneys appropriated in this section, the following
13 amounts are allocated to each institution as follows:

14 a. For the state mental health institute at Cherokee:

15 \$ 20,529,101

16 b. For the state mental health institute at Independence:

17 \$ 24,851,083

18 c. For the civil commitment unit for sexual offenders at
19 Cherokee:

20 \$ 20,461,284

21 d. For the state resource center at Woodward:

22 \$ 14,433,872

23 e. For the state resource center at Glenwood:

24 \$ 1,590,130

25 f. For the state training school at Eldora:

26 \$ 20,478,037

27 DIVISION IX

28 ADMINISTRATION AND COMPLIANCE — FY 2025-2026

29 Sec. 25. ACCOUNTABILITY, COMPLIANCE, AND PROGRAM

30 INTEGRITY. There is appropriated from the general fund of the
31 state to the department of health and human services for the
32 fiscal year beginning July 1, 2025, and ending June 30, 2026,
33 the following amount, or so much thereof as is necessary, to be
34 used for the purposes designated:

35 For accountability, compliance, and program integrity,

1 including salaries, support, maintenance, and miscellaneous
2 purposes, and for not more than the following full-time
3 equivalent positions:

4 \$ 21,904,214
5 FTEs 409.00

6 1. Of the moneys appropriated in this section, \$200,000
7 shall be transferred to and deposited in the Iowa ABLE savings
8 plan trust administrative fund created in section 12I.4, to be
9 used for implementation and administration activities of the
10 Iowa ABLE savings plan trust.

11 2. Of the moneys appropriated in this section, \$2,602,312
12 shall be allocated for foster care review and the court
13 appointed special advocate program, including for salaries,
14 support, maintenance, and miscellaneous purposes.

15 3. Of the moneys appropriated in this section, \$1,148,959
16 shall be allocated for the office of long-term care ombudsman
17 for salaries, support, administration, maintenance, and
18 miscellaneous purposes.

19 DIVISION X

20 DEPARTMENT OF HEALTH AND HUMAN SERVICES TRANSFERS, CASH FLOW,
21 AND NONREVERSIONS — FY 2025-2026

22 Sec. 26. DEPARTMENT OF HEALTH AND HUMAN SERVICES TRANSFERS
23 AND CASH FLOW.

24 1. Notwithstanding any provision of law to the contrary,
25 the department of health and human services may transfer moneys
26 appropriated in this Act to support continuing alignment
27 efforts, to maximize federal support in accordance with the
28 department's federal costs allocation plan, and for resources
29 necessary to implement and administer the services for which
30 moneys are appropriated. The department shall report any
31 transfers made pursuant to this subsection to the general
32 assembly.

33 2. If, due to ongoing cost management efforts, the
34 appropriations under this Act for the Medicaid program
35 exceed the associated costs for the Medicaid program for the

1 fiscal year, the department may transfer any savings to the
2 appropriations made in this Act for health program operations,
3 or for accountability, compliance, and program integrity,
4 to defray the costs associated with ongoing cost management
5 efforts.

6 3. Notwithstanding any provision of law to the contrary,
7 the department may transfer moneys appropriated under this Act
8 for child protective services to pay the nonfederal share costs
9 of services reimbursed under the medical assistance program,
10 state child care assistance program, or the family investment
11 program which are provided to children who would otherwise
12 receive services paid by the appropriation for child protective
13 services.

14 4. The department may transfer moneys from the temporary
15 assistance for needy families block grant to the federal social
16 services block grant appropriation, and to the child care and
17 development block grant appropriation, in accordance with
18 federal law.

19 5. To the extent the department determines that moneys
20 appropriated under this Act, or allocated for a specific
21 purpose under this Act, will remain unencumbered or unobligated
22 at the close of the fiscal year, such unencumbered or
23 unobligated moneys may be used in the same fiscal year for any
24 other purpose for which the appropriated moneys may be used, or
25 for any other allocation within the same appropriation.

26 Sec. 27. DEPARTMENT OF HEALTH AND HUMAN SERVICES
27 NONREVERSIONS.

28 1. Notwithstanding section 8.33, moneys appropriated under
29 this Act from the general fund of the state and the temporary
30 assistance for needy families block grant to the department of
31 health and human services for the fiscal year beginning July 1,
32 2025, and ending June 30, 2026, for the purposes of the FaDSS
33 grant program that remain unencumbered or unobligated at the
34 close of the fiscal year shall not revert, but shall remain
35 available for expenditure for the purposes designated until the

1 close of the succeeding fiscal year.

2 2. Notwithstanding section 8.33, of the moneys appropriated
3 under this Act from the general fund of the state, the quality
4 assurance trust fund, and the hospital health care access trust
5 fund to the department of health and human services for the
6 fiscal year beginning July 1, 2025, and ending June 30, 2026,
7 for the purposes of the medical assistance program, the amount
8 in excess of actual expenditures for the medical assistance
9 program that remains unencumbered or unobligated at the close
10 of the fiscal year shall not revert, but shall remain available
11 for expenditure for the medical assistance program until the
12 close of the succeeding fiscal year.

13 3. Notwithstanding section 8.33, and notwithstanding the
14 nonreversion amount limitation specified for state resource
15 centers in section 222.92, subsection 4, moneys appropriated
16 under this Act from the general fund of the state to the
17 department of health and human services for the fiscal
18 year beginning July 1, 2025, and ending June 30, 2026, for
19 the purposes of state-operated specialty care that remain
20 unencumbered or unobligated at the close of the fiscal year
21 shall not revert, but shall remain available for expenditure
22 for the purposes designated for subsequent fiscal years.

23 4. Notwithstanding section 8.33, moneys appropriated in
24 this Act from the general fund of the state to the department
25 of health and human services for the fiscal year beginning July
26 1, 2025, and ending June 30, 2026, for the Iowa commission
27 on volunteer service for programs and grants that remain
28 unencumbered or unobligated at the close of the fiscal year
29 shall not revert, but shall remain available for expenditure
30 for the purposes designated for subsequent fiscal years.

31 5. Notwithstanding section 8.33, moneys appropriated under
32 this Act from the general fund of the state to the department
33 of health and human services for the fiscal year beginning July
34 1, 2025, and ending June 30, 2026, and allocated for rural
35 psychiatric residencies that remain unencumbered or unobligated

1 at the close of the fiscal year shall not revert, but shall
2 remain available for expenditure for the purposes designated
3 until the close of the succeeding fiscal year.

4 6. Notwithstanding section 8.33, moneys appropriated
5 under this Act from the general fund of the state to the
6 department of health and human services for the fiscal
7 year beginning July 1, 2025, and ending June 30, 2026, and
8 allocated for adoption subsidy payments and related costs, or
9 for post-adoption services and related allowable purposes,
10 that remain unencumbered or unobligated at the close of the
11 fiscal year shall not revert, but shall remain available for
12 expenditure for the purposes designated until the close of the
13 succeeding fiscal year.

14 7. Notwithstanding section 8.33, moneys appropriated under
15 this Act from the general fund of the state to the department
16 of health and human services for the fiscal year beginning July
17 1, 2025, and ending June 30, 2026, and allocated for child
18 protective services that remain unencumbered or unobligated at
19 the close of the fiscal year shall not revert but shall remain
20 available for expenditure for the purposes designated until the
21 close of the succeeding fiscal year.

22 DIVISION XI

23 DEPARTMENT OF HEALTH AND HUMAN SERVICES PRIOR APPROPRIATIONS 24 AND OTHER PROVISIONS

25 THRIVE IOWA PROGRAM CLOSED-LOOP REFERRAL SYSTEM

26 Sec. 28. 2024 Iowa Acts, chapter 1157, section 21,
27 subsection 6, is amended to read as follows:

28 6. To the extent the department determines that moneys
29 appropriated under this 2024 Iowa Act will remain unencumbered
30 or unobligated at the close of the fiscal year or that
31 services will not be impacted, the department may utilize
32 up to \$3,000,000 of such unencumbered or unobligated moneys
33 appropriated to develop and support the thrive Iowa program,
34 a closed-loop referral system utilizing a navigator model,
35 that acts as the connection point to link Iowans on an

1 individualized path to prosperity and self-sufficiency
2 to available resources in all sectors of the community.
3 Notwithstanding section 8.33, any moneys utilized for this
4 purpose shall not revert but shall remain available for
5 expenditure for the purposes designated.

6 COMMUNITY ACCESS AND ELIGIBILITY

7 Sec. 29. 2024 Iowa Acts, chapter 1157, section 22, is
8 amended by adding the following new subsection:

9 NEW SUBSECTION. 7. Notwithstanding section 8.33, moneys
10 appropriated under this 2024 Iowa Act from the general fund
11 of the state to the department of health and human services
12 for the fiscal year beginning July 1, 2024, and ending June
13 30, 2025, for community access and eligibility that remain
14 unencumbered or unobligated at the close of the fiscal year
15 shall not revert but shall remain available for expenditure for
16 the purposes designated, or are appropriated to the department
17 for any purpose described in this division of this Act or to be
18 used as necessary to enhance the department's accountability,
19 compliance, program integrity, and efficiency, until the close
20 of the succeeding fiscal year.

21 MORE OPTIONS FOR MATERNAL SUPPORT PROGRAM

22 Sec. 30. 2024 Iowa Acts, chapter 1157, section 22, is
23 amended by adding the following new subsection:

24 NEW SUBSECTION. 8. Notwithstanding section 8.33, moneys
25 appropriated under this 2024 Iowa Act from the general fund
26 of the state to the department of health and human services
27 for the fiscal year beginning July 1, 2024, and ending June
28 30, 2025, for the more options for maternal support program
29 that remain unencumbered or unobligated at the close of the
30 fiscal year shall not revert but shall remain available for
31 expenditure for the purposes designated until the close of the
32 succeeding fiscal year.

33 CHILD PROTECTIVE SERVICES

34 Sec. 31. 2024 Iowa Acts, chapter 1157, section 22, is
35 amended by adding the following new subsection:

1 NEW SUBSECTION. 9. Notwithstanding section 8.33, moneys
2 appropriated under this 2024 Iowa Act from the general fund of
3 the state to the department of health and human services for
4 the fiscal year beginning July 1, 2024, and ending June 30,
5 2025, for child protective services that remain unencumbered or
6 unobligated at the close of the fiscal year shall not revert
7 but shall remain available for expenditure for the purposes
8 designated until the close of the succeeding fiscal year.

9 Sec. 32. EFFECTIVE DATE. This division of this Act, being
10 deemed of immediate importance, takes effect upon enactment.

11 Sec. 33. RETROACTIVE APPLICABILITY. This division of this
12 Act applies retroactively to July 1, 2024.

13 DIVISION XII

14 BEER AND LIQUOR CONTROL FUND — BEHAVIORAL HEALTH FUND

15 Sec. 34. 2024 Iowa Acts, chapter 1157, is amended by adding
16 the following new section:

17 NEW SECTION. SEC. 4A. IN LIEU OF STANDING
18 APPROPRIATION. The moneys appropriated and allocated in this
19 division of this Act for purposes of treatment and prevention
20 of substance use and misuse and addictive behaviors are in lieu
21 of the standing appropriation to the department of health and
22 human services pursuant to section 123.17, subsection 5, for
23 the fiscal year beginning July 1, 2024.

24 Sec. 35. 2024 Iowa Acts, chapter 1161, section 14, is
25 amended by striking the section and inserting in lieu thereof
26 the following:

27 SEC. 14. [Section 123.17, subsection 5](#), Code 2024, is amended
28 to read as follows:

29 5. After any transfer provided for in [subsection 3](#) is
30 made, the department shall transfer into a special revenue
31 account in the general fund of the state, a sum of money at
32 least equal to seven percent of the gross amount of sales made
33 by the department from the beer and liquor control fund on a
34 monthly basis but not less than nine million dollars annually.
35 Of the amounts transferred, ~~two~~ one million dollars, ~~plus an~~

1 ~~additional amount determined by the general assembly, shall be~~
2 ~~appropriated to the department of health and human services for~~
3 ~~use by the staff who administer the comprehensive substance use~~
4 ~~disorder program under chapter 125 for substance use disorder~~
5 ~~treatment and prevention programs shall be transferred to the~~
6 ~~behavioral health fund established under section 225A.7. Any~~
7 ~~amounts received in excess of the amounts appropriated to the~~
8 ~~department of health and human services for use by the staff~~
9 ~~who administer the comprehensive substance use disorder program~~
10 ~~under chapter 125 transferred to the behavioral health fund~~
11 ~~shall be considered part of the general fund balance.~~

12 Sec. 36. EFFECTIVE DATE. This division of this Act, being
13 deemed of immediate importance, takes effect upon enactment.

14 Sec. 37. RETROACTIVE APPLICABILITY. This division of this
15 Act applies retroactively to July 1, 2024.

16 DIVISION XIII

17 REPORT ON NONREVERSION OF MONEYS

18 Sec. 38. REPORT ON NONREVERSION OF MONEYS. The department
19 of health and human services shall report the expenditure of
20 any moneys for which nonreversion authorization was provided
21 for the fiscal year beginning July 1, 2024, and ending June 30,
22 2025, to the general assembly on a quarterly basis beginning
23 October 1, 2025.

24 DIVISION XIV

25 EMERGENCY RULES

26 Sec. 39. EMERGENCY RULES.

27 1. If necessary to comply with federal requirements,
28 including time frames, the department of health and human
29 services shall adopt administrative rules under section 17A.4,
30 subsection 3, and section 17A.5, subsection 2, paragraph "b",
31 to implement the applicable provisions of this Act. The rules
32 shall be effective immediately upon filing unless a later date
33 is specified in the rules. Any rules adopted in accordance
34 with this section shall also be published as a notice of
35 intended action as provided in section 17A.4.

1 Medicaid services for approval. Upon receipt of approval from
2 the centers for Medicare and Medicaid services, the department
3 shall administer the hospital directed payment program during
4 the specified fiscal year.

5 2. *a.* For the sole purpose of the hospital directed payment
6 program, the department may impose an assessment on a hospital.
7 The total amount of assessments collected by the department
8 shall not exceed the amount necessary to fully fund the
9 nonfederal share of the maximum state directed payment allowed
10 under federal regulations.

11 *b.* The department shall establish requirements for timely
12 payment of an assessment, and any penalties for late payment
13 or nonpayment of an assessment. Any assessment imposed under
14 this section shall constitute a debt due the state and may be
15 collected by civil action under any method provided by law.

16 *c.* The department and a third-party administrator contracted
17 with the department may collectively assess and collect an
18 administrative fee of no more than four percent of the amount
19 of each assessment imposed.

20 3. Any assessments and penalties collected under this
21 section shall be used for the purposes of the hospital directed
22 payment program.

23 4. *a.* The hospital directed payment program shall not
24 be administered, an assessment shall not be imposed, and a
25 hospital shall not be required to pay an assessment if federal
26 financial participation is not available, or if the hospital
27 directed payment program and imposition of an assessment are
28 not approved by the centers for Medicare and Medicaid services.

29 *b.* If federal law or policy significantly impacts the
30 hospital directed payment program as determined by the
31 department, the department, in collaboration with stakeholders,
32 may terminate the hospital directed payment program.

33 5. The department shall adopt rules pursuant to chapter 17A
34 as necessary to administer this chapter.>

35 2. Title page, line 7, after <programs;> by inserting <sex

1 reassignment surgeries or associated procedures;>
2 3. Title page, lines 12 and 13, by striking <more options
3 for maternal support program;>

MARK COSTELLO